S&P Capital IQ

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Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A

FQ3 2012 Earnings Call Transcripts

Friday, October 26, 2012 3:00 PM GMT

S&P Capital IQ Estimates

	-FQ3 2012-			-FQ4 2012-	-FY 2012-	-FY 2013-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	-	-	-	-	1.17	1.54
Revenue (mm)	44127.06	43448.00	▼ (1.54 %)	44683.00	170510.91	179160.90

Currency: MXN
Consensus as of Oct-26-2012 8:22 AM GMT

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Presentation

Operator

Good morning, everyone, and welcome to Grupo Bimbo's Third Quarter 2012 Results Conference Call. If you need a copy of the press release issued yesterday and a copy of the presentation, both are available on the company's website at www.grupobimbo.com/ir.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties and actual results may differ materially. Please refer to the detailed note on the company's press release regarding forward-looking statements.

I will now turn the conference over to Mr. Daniel Servitje, Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you very much. Good morning, everyone, and thank you for joining us this morning. Today, we have on the call Gary Prince, Lou Minella and Steve Mollick, President, HR VP and CFO of BBU, respectively, as well as our finance folks. I assume most of you have had a chance to review the earnings release already, so our focus today will be on reviewing key figures, adding additional color on what we see in our markets and updating you on the company's strategic initiatives.

Guillermo Quiroz, our CFO, will also take a few minutes to explain in greater detail the noncash expense we took in the U.S. operation this quarter, which obviously had an important impact on our results in the period. Although over the long term, this decision will be quite beneficial.

Let me start by saying that our performance this quarter was mixed. On one hand, top line sales growth was a healthy 35%, with solid 7.2% organic growth driven by gains in Mexico and Latin America. On the other hand, continued volume weaknesses in our largest market, the United States, and a slowdown in Brazil, our most important market in Latin America, affected our momentum. Combine this with FX rates that are pressuring raw material prices, mainly in Mexico and Latin America, and you have a 90 basis point contraction in the gross margin.

Furthermore, on top of the expected dilution at the operating level resulting from the higher expense structure of Sara Lee, there were the other expense items this quarter that impacted performance.

Before we go into details on that, let me elaborate a bit more on performance by region. Starting with Mexico, where the operations registered a solid 8% growth, with categories like bread, sweet baked goods and cookies outperforming in the quarter. One of the continued drivers of volume growth has been our ongoing work with our customers, primarily in the traditional channel to improve sales execution, which is a win-win proposition for both parties. We also launched some compelling marketing campaign such as the one with the soccer star, Lionel Messi, which has helped to boost visibility and more importantly volumes. This growth, along with greater efficiencies and better absorption of operating expenses, somewhat helped to offset the gross margin pressure coming from FX rate. I should point out that our Bimbo and Barcel units really drove these improvements, as the benefit of the turnaround effort at El Globo are taking longer than expected to materialize.

In the United States, sales rose more than 65% over the last year thanks to Sara Lee and favorable FX rates. While we're not seeing a true recovery in our bread business, volumes are continuing to trend positively quarter-to-quarter, with sweet baked goods and breakfast categories outperforming this period.

As we approach our first year anniversary of the Sara Lee acquisition, synergy and waste elimination initiatives are yielding results, with more than $70 million in benefits year-to-date realized across the entire silo-to-store value chain. This initiative has helped absorb input cost inflation. We have many opportunities to realize significant synergy cost reduction once we conclude the divestiture process

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required by the DOJ and complete the full implementation of the ERP system across the entire U.S. operation.

The first stage of the Oracle ERP project went live in August, as planned, and should be completed by the first quarter of 2013. We have also closed 4 plants year-to-date and are constructing a new state-of-the-art facility in Texas. While these actions generated some improvements at the operating level, we generated a onetime cash expense this quarter after exiting 2 of the 34 Multiemployer Pension Plans in which we participate. Guillermo will discuss this in more detail shortly, but I do want to point out that this move, while having an immediate accounting impact of MXN 1.1 billion this quarter is beneficial on multiple levels over the long term. Most importantly, it safeguards the retirement benefits of our associates by providing these plans long term financial viability, giving us greater cash flow visibility and reducing operating cost.

Moving on to Latin America. The 20% rise in sales, which includes Fargo, over the previous year, is somewhat of a deceleration from the growth we have seen in recent quarters, almost entirely attributable to weaknesses in Brazil. Performance remained very healthy in markets like Chile and Colombia, however. At the same time, the impact of FX rates on the most important countries in the region, as well as higher labor costs negatively impacted the cost of goods sold, slightly eroding gross margin this quarter.

We also had the impact of continued investments in market penetration, particularly in Brazil, where it is taking longer than expected to achieve the decided scale, as well as a lower absorption of fixed costs due to the aforementioned volume deceleration. We also recorded a noncash expense related to the new labor law, which retroactively changes the methodology for employee benefit calculations in Venezuela, further pressuring the operating margin.

As for Iberia, the current economic situation is indeed tough and it is deteriorating our results. Nonetheless, we continue to move forward on the integration plan.

In terms of the balance sheet, we're pursuing our target on our leverage ratios. In the first 9 months of 2012, we paid down approximately MXN 2.9 billion of liability, bringing our debt-to-EBITDA ratio to 2.8x in September compared to 3.1 in December 2011.

Looking ahead, at the final months of the year and into the first half of 2013, we still face continued uncertainty in the consumer environment, particularly in the U.S., Iberia and Brazil. And raw materials will likely come under pressure with the rapid rise in wheat prices. Our focus will remain on 3 topics: one, maximizing profitability and cash generation; two, completing the divestitures at BBU and advancing the Sara Lee integration; and finally, making the right investments to advance our long-term goal of becoming a low-cost producer. Our capital expenditures are on track and will come in at approximately $550 million this year.

One of the key strategic initiatives we are focusing on is to create a lean supply chain, including a global purchasing function that would not only provide the benefits of economies of scale, but it will align the entire group around the same efficient standards, removing structural redundancies that do not add value.

That concludes my remark this morning. So I will now hand the call over to Guillermo for more details on the U.S. pension plan provision.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Good morning, everyone. Nice being with you. We've made a prepared -- very brief presentation that I understand you all have, and this is a very complex issue. We understand that it's basically unknown for many of you, it was unknown to us a couple of years ago. So we prepared this basic presentation, trying to answer what we consider are the basic fundamental questions. Number one is, what we are doing, what is going on? Second, what are the impacts of these decisions, both economic and accounting? And the third and last is, why are we doing this? So joining me for this presentation is Lou Minella, HR VP for our U.S. Operation, and I'll turn the call over to him to take the next slide.

Louis A. Minella

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Former Head of Human Resources & Labour Relations at Weston Foods United States Segment

Thanks, Guillermo, and good morning, everyone. So I think it will help a little bit to provide just a little bit of background. And Multiemployer Pension Plans or MEPPs were -- actually came about through a statute that was enacted in the United States in 1947 known as the Taft-Hartley Act. And what happened is that statute enabled companies and unions to come together through collective bargaining agreement and form jointly trusteed pension funds in any industry. Those funds have proliferated in the construction industry. They've proliferated through teamsters in the trucking industry and in a number of other industries, including baking industry, which is obviously what we're concerned about. Overall, today, looking at the universe, there are over 1,500 Multiemployer Pension Funds in the U.S., with over 10 million total participants looking to those funds for their pensions. What we are doing in the action that we're taking today, that we announced in the press release yesterday, is for 2 discrete funds with which we participate: The New England Teamsters Fund and the Bakers Local 433 Fund, we're taking advantage of opportunities that have presented themselves to resolve our situation with them and move forward. And specifically, in New England, we -- the New England fund has adopted and made available to employers what's known as a hybrid withdrawal liability solution. I won't go into the details of that, but it's an opportunity to cap your liability and resolve it on favorable terms. And we've decided to take advantage of that, and that's our New England fund action.

The Local 433 Bakers action is a little bit different. In Local 433, it is essentially a 2 employer fund and the other employer served notice on the union of their withdrawal from the fund earlier in the year. And so again, trying to take advantage of the situation, what we didn't want to do is be left as the only significant employer in the fund, and so we have followed suit. And again, taking advantage of the opportunity to withdraw, cap our liability, exit from the fund, and move forward for the benefit of our financial position as well as for our employees.

And Guillermo, I think, at this point, I'm going to hand it back to you for a discussion of the accounting and economic impacts.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Okay, Lou, thanks. Well, as you can see in this page, basically, the accounting impact is close to $80 million. The withdrawal liabilities are a bit more than $110 million, but we already had a reserve of $31 million, so net impact will be $80 million. And the economic impact calculated at present value is $68 million positive.

As you can see at the bottom of the page, the present value under current situation is expected to be $208 million, and the present value of the new solution is 130 -- $140 million, so the difference is where we get the $68 million economic benefit. As Lou was saying, we have of course all the details of these calculations. But basically speaking, what is happening is that we are comparing our estimates for future outflows if we were to be -- or not to withdraw from the plan. And then compare that to the new expected cash flows under the new solution. Most of this economic value comes from the fact that even though the $80 million is a onetime charge to a P&L, and we are taking it today, the withdrawal payment is going to take place in 25 years in the case of The New England Teamsters case and 19 years in the case of the 433. Now these payments are without interest. So basically speaking, as I was saying, the economic value comes from discounting those future payments to a present value and for those calculations we used our WACC number for the U.S.A. That is basically the way we calculated these. But if anyone has any doubts or questions, I will be happy to answer that during the Q&A session.

And with that, get us back to Lou with the next page.

Louis A. Minella
Former Head of Human Resources & Labour Relations at Weston Foods United States Segment

Thanks, Guillermo, and I will be brief. Really, the answer to the "why we are doing this?" We're taking advantage of an opportunity here in both of these situations. So the answer is, we're opportunistic. New England presented a hybrid withdrawal liability solution. We evaluated it. It was to our advantage to take

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-- to follow through with it, and we've done so. With Local 433, the withdrawal of the other significant employer again presented that kind of opportunity, and we decided to take advantage of it. So in both cases, we're managing through these 2 funds because of specific opportunities that presented themselves that were favorable to the company, and that's why we're marching forward. Guillermo?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board
Well, I guess that's it for the presentation. So Valerie, we are ready to proceed with the Q&A session, please.

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Question and Answer

Operator

[Operator Instructions] And the first question comes from Alan Alanis of JPMorgan.

Alan Alanis
JP Morgan Chase & Co, Research Division

I have a number of technical questions regarding the pension funds. I might follow-up on those online, but just one quick question on that, on this. How many of your other pensions are -- do you think that might present this "opportunity" in terms of additional funding in the next 12 to 24 months? And how much of this is -- this is not the new Sara Lee operations, correct? This is from the old Weston employees, correct? That would be my first question, but I do have one more after that.

Louis A. Minella
Former Head of Human Resources & Labour Relations at Weston Foods United States Segment

Guillermo, it's Lou, I can take that. The answer, let me pick your last one first. The New England pension fund is not Sara Lee. It is the existing BBU, but the Local 433 is Sara Lee. It's not the old BBU. And then your first -- the first part of your question is actually impossible to answer, so we're going to monitor the situations with all our funds as we manage them on an ongoing basis. But we -- not able to answer whether there'll be opportunities in that kind of timeframe or not, because we'll take them as they come.

Alan Alanis
JP Morgan Chase & Co, Research Division

Got it. And those opportunities arise because of a change of legislation or regulation, am I understanding that properly?

Louis A. Minella
Former Head of Human Resources & Labour Relations at Weston Foods United States Segment

I would say in part yes, but I would also say because of the ability to propose creative solutions on the part of the trustees of those funds.

Alan Alanis
JP Morgan Chase & Co, Research Division

Got it. Okay. Fair enough. More importantly than that, I mean, could you tell us on an organic apples-to-apples basis what are the underlying trends -- and maybe this is a question for Gary in the United States all in terms of volume, pricing and market share?

Gary Prince
Former Deputy President of BBU

Good morning, Alan, it is Gary. Well our volume trends are improving across our portfolio, and we like our breakfast and sweet good businesses very much. Our volume is improving in our bread and bun category, and that is where we have been disappointed in our price realization. And to that extent, we've initiated price increases effective November, particularly to cover the commodity increases we see coming. So on balance, our tonnage is improving -- although our tonnage will be affected by some product assortment changes, some rationalization that we'll be doing in certain markets, particularly in the bread and bun business, as we look to make it much more efficient. So I don't expect tonnage growth -- dynamic tonnage growth in the bread and bun business, but I do expect it to be much more efficient than it is today. I do expect growth across the rest of our platform.

Alan Alanis
JP Morgan Chase & Co, Research Division

Okay. And in terms of the market share trends, what are you seeing right now?

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Gary Prince
Former Deputy President of BBU

Our market share trends are basically constant. We have some improvements and some decreases across the country. But we really look at our business by region, and we're quite happy with where we are, Alan, on our shares.

Alan Alanis
JP Morgan Chase & Co, Research Division

Got it. Okay. One last question, Daniel, I mean, if your on the line. What are your thoughts, and I know you've answered this in the past, but I just want to see if this has changed regarding the balance between short and long-term profits for the business in light of the transition that your doing. Has anything changed, Daniel, in the sense of saying, look, I mean, we're going to put more emphasis right now in setting up the pillars or the base for much longer, like I said, being the low-cost producer and much longer-term profitability even if we have to take advantage of these kinds of opportunities and that means a hit to earnings in the coming quarters. So is there any change in your thinking in terms of that balance between short and long-term profits, Daniel? That will be my last question.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Alan. Good morning, and let me tell you that our view on our 2015 vision, it's still unchanged. We are focused on really building a lean company. One that is attuned to the market realities, and that implies investing in our whole infrastructure plant and distribution centers. And we will take that view. But we're certainly focused also on delivering better numbers on our profits and deleveraging ourselves, and that's a balance that we will keep next year. What I will tell you, that we are emphasizing more profitability than growth in the coming years. And that's something that will drive our decisions in that regard.

Operator

The next question comes from José Yordán of Deutsche Bank.

José Juan Yordán
Deutsche Bank AG, Research Division

I was wondering if you could give us an update on the synergies in the U.S. I mean you mentioned you've realized $70 million of synergies to date, but obviously there's been a similar amount, I guess, of integration expenses, et cetera. If you can update us on where -- how long those integration expenses will last and when should we see a more meaningful net synergy out of the Sara Lee business? That's my first question.

Gary Prince
Former Deputy President of BBU

It's Gary. When we went into this just roughly 1 year ago, we said that we had $150 million to $200 million of synergies, and we actually looked at a budgeted restructuring cost of somewhere around $115 million and to date, we've booked about $85 million. As we continue to -- so we're 1 year in and where we are today, frankly, we've made good progress on many fronts. Two areas have held us up: one, being our IT initiatives won't be completed until the first quarter of next year, and that has affected our ability to -- particularly on our supply chain side to capture a bulk of the synergies this year; and secondarily, the government has held us up on the divestitures. And so -- and we expect a decision imminently on the divestitures, and it could be as recent -- it could even be today. It could be next week. It's that kind of fluid issue at the moment. And soon as the government frees us up on the divestitures and soon as we have fully implemented our IT initiatives across IT and administration, we will then fast-track a lot of our synergies into next year. We'll be able to restructure our asset base, our facilities, and our route structures across the business. I'd also say that as we continue to look at each region of the country, look at our supply chain opportunities, I would also say that we're more optimistic about our synergy capture over '13 and '14 than we were when we went into this. The opportunities are significant. And frankly, most are in

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front of us at this stage. Now there will be some further plant closures, particularly in the first half of next year. In California, we'll go through significant change once we start to execute the divestiture plan.

José Juan Yordán
Deutsche Bank AG, Research Division

Okay. And so that number remains $150 million, but it sounds like -- and I believe Guillermo has been -- in his talks to the press recently, also been implying that the number would be above the $150 million, I'm not sure about how much, but is that still correct?

Gary Prince
Former Deputy President of BBU

It's hard to tell at the moment the additional cost that it will take on the restructure, but we will make those decisions region by region as we look at the synergistic opportunities that are out there. And frankly, our build strategy is another area of importance to us as we put in new assets in different regions of the country to significantly change our cost base. And that's where all of our effort is focused across the supply chain system. When it comes to the U.S., you should think about the U.S., first completing our IT initiatives, executing the California divestitures important to us, and then the rest of our work is really focused on the efficiency of our supply chain across our administrative platforms or product assortment, asset realignment and distribution efficiency.

Operator

The next question comes from Raf Shin of BTG Pactual.

Dong Uk Shin
Banco BTG Pactual S.A., Research Division

My question was with regards to the remaining MEPPs. So I mean, the first question is, could you give us an idea of how funded or underfunded these plans are? And if you're actively seeking to retire from all of these plans in the longer run?

Louis A. Minella
Former Head of Human Resources & Labour Relations at Weston Foods United States Segment

Guillermo, it's Lou, I'll take this one as well. We are in 34 plans, and the answer to their funded level truly varies plan by plan. You'd have to analyze each one by themselves. And again, I'll repeat what I said before. We're going to continue to manage them closely, and when the opportunity presents itself, potentially take actions like we're announcing today. But what the timeframe is and which funds and which actions all remains to be seen.

Dong Uk Shin
Banco BTG Pactual S.A., Research Division

Okay. I guess, well, the other way to ask this is, so when you were negotiating the price on Sara Lee, what was the size of the liability you were considering in that price, I mean, when you take into consideration all of these liabilities with regards to MEPPs?

Louis A. Minella
Former Head of Human Resources & Labour Relations at Weston Foods United States Segment

Recognizing that the liabilities change every year, approximately $500 million.

Dong Uk Shin
Banco BTG Pactual S.A., Research Division

That was the $500 million provision you made initially?

Louis A. Minella
Former Head of Human Resources & Labour Relations at Weston Foods United States Segment

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Right, and the provision matches. That's exactly right.

Operator

[Operator Instructions] The next question comes from Miguel Mayorga of GBM.

Miguel Mayorga

My question regarding the LatAm business. Can you give us some color regarding coming profitability going forward?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Good morning, Miguel. In LatAm, we had a, I would say, a slower growth rate than the one that we have had in the previous quarters, basically coming out of a strong deceleration of the marketing in Brazil. It's still growing from last year, but barely. And in terms of the operating losses that we had there, part of them came out of a change in the law in Venezuela that impacted us on the operating margin, $4 million, all for the impact on the year. We had to put it in the third quarter all the impact of the whole year. And we also had a charge for the past years, as we explained it in the report. Now our focus is in all the countries, but more specifically I would say is in Brazil. In Brazil, we are reviewing our complete systems and processes in order to streamline them. We're very encouraged about the improvements that we are making in the sales area, and I think that's going to be structurally a good opportunity to turn around this business. And the success of Latin America hinges on transforming Brazil. We are also beefing up our management team there. And we're very focused on Brazil because that's where the bulk of the issues are. The Venezuela operation, although complex as it is, it was mostly impacted by the changes in the law specifically.

Miguel Mayorga

Okay. So if these strategies are successful, which margin levels could we be expecting for 2013?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Our goals are basically to turn around the Brazilian operation. And as we see right now, most of the projects will be completed at the end of the first semester in 2013. So we'll see a rebound in the numbers, I would say, mostly in the second semester of next year and 2014, and we're expecting by 2014 to have a high -- around 5% to 7% EBITDA number, in that range.

Operator

And the next question comes from Alex Robarts of Citi.

Alexander Reid Robarts
Citigroup Inc, Research Division

Two questions. You talked about Mexico, the 7.9% sales growth in the quarter. Seems that there's a little bit of a slowdown or deceleration versus the first half. I appreciate there's some comp issues. But wondering if you could kind of comment a little bit on the volume pricing trends going forward in the next couple of quarters. Might you consider a price increase? Any color there would be appreciated. And the second question relates to competition in the United States. I mean, it seems there's probably a good chance that we see Hostess emerge from bankruptcy. I mean, they've obviously been in the market during this period. Do you expect any kind of competitive changes? Or how would you characterize their reemergence on your business in the United States? And it sounds like they're probably -- kind of be involved with divesting of some assets. Might you be interested in some kind of bolt-on type of acquisitions? I appreciate this year is a transition year, but maybe you could comment a little bit on how you see further consolidation in the United States next year.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

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Let me answer the first question, and I'll allow Gary to talk -- to touch on the second one. On the Mexican scene, I would say that we have had strong growth, volume growth all the year. We're still experiencing growth, although on a comparison -- comparative basis, the next quarter we will be facing also growth in the previous year, so we expect that to slow down on a percentage basis. The business is strong, and I think that we've been able to make it even stronger, and we're happy with our numbers in Mexico and our plans as well. On prices, I would say that we have -- eventually we'll have to increase prices in Mexico as well given the hike in the commodities. But I'm not seeing it imminently. So that's what we're seeing in Mexico.

Gary Prince
Former Deputy President of BBU

Good morning, Alex, it's Gary. In response to your second question regarding Hostess and the competitive environment in the United States. While I can't really comment a lot on Hostess, I assume Hostess will exit bankruptcy sometime early next year, at least that's what all the press would have you believe. Their current position would be to exit somewhere in the first quarter. Our competitive market structure in the U.S. has stayed relatively the same, not a lot of change. In regards to Hostess being opportunistic, and I have no idea what they're going to sell, what regions or plants or products. At this stage, I have no indication of any change in that regard. But like anything, we'll keep our eyes open and see if opportunities come about. And I'd leave it at that.

Operator

The next question comes from Nikolaj Lippmann of Morgan Stanley.

Nikolaj Lippmann
Morgan Stanley, Research Division

A couple of quick questions. First on the pension fund issue. In relationship to Hostess, could you give us an indication of sort of the maximum liability that you could face with the multiemployer pension funds in relationship to the -- being in bankruptcy and exiting bankruptcy in relationship to Hostess? And also, I don't know if you can give a ball park figure of what would be the -- if you had this "opportunity" as Alan, in all your pension funds, what would be the maximum -- what change to your liabilities? And finally a question for Gary, in terms of -- could you comment a bit on the different categories where you're seeing growth, the premium, middle market and whether you see the Sara Lee brands as gaining share? Those are my questions.

Louis A. Minella
Former Head of Human Resources & Labour Relations at Weston Foods United States Segment

This is Lou. Let me take a shot at your pension question. And again, I think they're very difficult because of the number of funds and the implications across the funds and the differences fund to fund and the uncertainty with Hostess. So it just would be so speculative to try to answer your question with numbers, because we don't know what's going to happen with Hostess, and we -- and then depending on what happens, it would require an analysis fund-to-fund to fund-to-fund. So I don't think we could be terribly helpful as this point in the answer to those questions.

Nikolaj Lippmann
Morgan Stanley, Research Division

Can you give us an indication of how many of these funds you are in there with Hostess?

Louis A. Minella
Former Head of Human Resources & Labour Relations at Weston Foods United States Segment

I think the number is approximately, approximately 18 or 20 of our 34 we would be in, and they would be participating as well.

Nikolaj Lippmann
Morgan Stanley, Research Division

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Okay, and in relation to the question to Gary?

Gary Prince
Former Deputy President of BBU

Okay. This is Gary. Thank you. In terms of our portfolio, we have tremendous potential in the premium side of our portfolio. And first of all, I think our portfolio is one of our greatest strengths, and we want an efficient portfolio. And our sweet good business has tremendous growth opportunity both in single serve multifamily pack products right across the country. It's a large business. It continues to grow. And we see putting a lot of effort behind that category in the next few years. Equally important is our breakfast business, our premium bread business. And those businesses also have tremendous potential. And our concentration really is on better-for-you products. Whole grain would be an example of that. It's where all the growth is. And equally important on our mainstream products is putting more value into the marketplace, and it's why we're working on our cost structure right across the business. So we also have a pipeline of innovation across all of the businesses. And I'm mindful that our -- one of our latest new products that we put into the market a couple of years ago, Sandwich Thins and Bagel Thins, and those are just 2 great examples of innovation that have served us well and continue to, and they were in the health arena. They were whole grain, better for you, lower calorie products, and that's where the majority of our efforts are focused.

Nikolaj Lippmann
Morgan Stanley, Research Division

Are you taking share from the B brands at the moment with some of your middle market brands, for example, Sara Lee?

Gary Prince
Former Deputy President of BBU

No. Sara Lee has great growth potential. We've expanded it in the Northeast. We continue to expand it and make it a national brand, where it was not when we acquired it. And we want it to be a more efficient national brand. And so all of our efforts are going towards assortment by region, by category, whether it's our bread business or bun business. I might comment that one of the disappointments we've had frankly this quarter, this recent quarter in the U.S., was our bun business. The summer grilling season, we had tough comps, but the summer grilling season was not what it was 1 year ago, and the way July 4 fell did not help us. It fell in the middle of the week. But our bun business also has great potential, and our first focus is to make it more efficient.

Operator

And the next question comes from Manuel Arroyo [ph] of Berkin Road [ph].

Unknown Analyst

I was wondering if you could just clarify a question, I don't know if you answered it earlier. On your withdrawal from the employee pension funds, you stated on the press release that there was a, like MXN 1 billion noncash charge on both plan withdrawals. Can you specify what cash payments were made to allow you to withdraw? Then I have a follow-up question on CapEx.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

I'll take that. Basically, what the accounting regulation implies is that once you withdraw from a fund, you have to recognize in your books the full amount of future payments. Now basically, our cash flow will not be affected, and in fact it's going to be affected positively, because we are taking one hit to create the liability in our balance sheet, but those liabilities will be paid, as I said before, in 25 years in the case of The New England Teamsters Fund and 19 years in the case of 433. So really, this action does not have any impact -- any negative impact in the value of the company because we were already -- and we were forced to keep paying on those funds on a regular basis. And those payments were booked as operating

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expenses. Now some of those payments are going to be recorded as payment of debt, but the net is going to be positive for us as mentioned before in about $70 million in present value.

Unknown Analyst

Okay. Now a little bit on CapEx and maybe initiatives for shareholders. You mentioned in your fourth quarter conference call earlier this year a CapEx figure of $780 million. Now I'm not sure if that was just specifically for 2012, but year-to-date, your investments in plant equipment are basically in line with the 9 months for 2011. And having said that, even though your cash levels are not near your maximum levels we have seen, like in early 2011 or 2010, your cash levels are rising. Because then you have your hands full with the integration, development with Sara Lee and the slowdowns you mentioned. Latin America, Brazil continues to have those -- it seems to me there's a lack of positive net present value projects there. And then the Bimbo stock has not really participated with the 10% gains that we've seen since the summer for the Mexican index. So this is like a two-pronged question. If you're still considering substantial CapEx lined up for the fourth quarter and first quarter of next year? You mentioned a lot of that would have to do with the supply chain efficiencies. Can you provide some granularity on this, on allocation for this CapEx maybe by initiatives, by region categories? And the second part of that would be, if you're considering an extraordinary dividend or maybe a substantial share buyback program to go with some of those things where you have so much going on with integration and, at least from my perspective, a lack of positive NPV projects in Latin America.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well that's a long question. Let me maybe say a few things on CapEx. I might cover some of your concerns, maybe not all of them. The first one is, yes, we stated that goal of CapEx at the beginning of the year, but then we mentioned also in the previous quarter that we had been reviewing the CapEx projects for different reasons. And we're more in line with the number that I gave you. And given also the need for deleveraging ourselves, we will probably be around that number next year. Our focus is still the same one, the goal, and we have been reviewing our manufacturing footprint and taking -- making plans in order to streamline our business in all regions, and that will entail investing mostly in manufacturing in the coming 2 years, but at a slower pace than we had envisioned at the beginning of the year. And most of it will be in manufacturing, in making the efforts for reducing our cost per unit on a regular basis. It's a thorough analysis, and we will be executing them, the projects in the coming 2 years. There's not an expectation of extraordinary dividend because, as we mentioned, the first goal is on deleveraging and reducing the ratio that we have currently on our debt. So that's basically the focus. The majority of investment will go in the coming years to the U.S. in order to improve the -- or get the benefit of the synergies. And that's where we're focused mostly on.

Unknown Analyst

Okay. And you mentioned these delays in the divestitures and also your problems with the IT initiative for Sara Lee. Can you give us some color, some detail of when you expect Sara Lee to become EPS accretive?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Gary, do you want to cover that part?

Gary Prince
Former Deputy President of BBU

Yes. In terms of EPS accretive, I'm going to come back to Guillermo, but I am going to say that when we entered into the Sara Lee transaction, we communicated we had about 3 years of work and the first 2 years were really important. This year, 2013, is full of opportunity and all of our efforts are going to be focused on creating a new BBU, a new platform in the U.S. The government, the DOJ release on the divestiture is imminent, and that will allow us to execute a lot of our projects in the western half of the country. The IT -- our IT transformation is on track, and while it's going to not be completed until, say, February or March, it's very much on track. There's been a lot of good work done there, and we're thrilled

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with our progress in that regard. And that said, once we have finalized one platform to create one BBU, it will reenergize all of the initiatives across the supply chain. So next year, we will be still going through some transformations, still going through some restructuring, but we look to exit 2013 a much more productive company than when we started. And frankly, that was the thesis on this all along. We acquired a $2 billion baked goods business, largely a bread and bun business, that wasn't very efficient. And it does take time to create the efficient platform that's needed. And next year will move us forward substantially in creating that efficient platform. It is a...

Unknown Analyst

Just a final housekeeping question for the model. Considering that you might begin to take on some of those projects that the divestiture release would allow you, should we model similar other expense charges for the next 2 or 3 quarters similar to the third quarter?

Gary Prince
Former Deputy President of BBU

On the operating side, I would say yes.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

$85 million.

Gary Prince
Former Deputy President of BBU

It's in the range this year of $85 million. We will have some closure costs in the first 2 quarters of next year. So I would say, yes. In your models, you should look for more charges as it relates to our restructuring in the U.S.

Operator

The next question comes from Fernando Ferreira of Merrill Lynch.

Fernando Ferreira
BofA Merrill Lynch, Research Division

I just have a quick question, and again, I'm sorry if you answered it before, I joined late in the call. But can you give us an update on how is your wheat flour inventories across the regions? And also what sort of impact can we expect in margins for next year coming from higher wheat prices?

Armando Giner

Fernando, this is Armando. As you remember, the policy that we have in terms of hedging is, every operation has to be hedged from 4 to 9 months. But you can take into account as a rolling basis. In the timeframe that we currently have, obviously, we can say that we have all the hedges for this year and part of the first quarter for next year. But for -- to consider, trying to see the effect of the wheat in our figures, a good assumption is to assume a 6 month lapse in the hedging.

Gary Prince
Former Deputy President of BBU

If I could just -- it's Gary. If I could just add to that as it relates to the U.S., consistent with Armando's comments, we are within the range of our policy of 4 to 9 months in our hedging. The dynamics around the wheat market have been quite volatile obviously, and it goes back to 2008, 2009. We've been operating in a very volatile environment. Wheat trading at one time of $7.50 and very quickly moving to $9.50. And so the back half of next year is the markets -- the world markets are changing. And while we're sitting at $9.50 wheat today, we don't know, we might be sitting at $10, $11 wheat in 4 to 5 months time. So it's a very important question for us to stay on top of. And here in the U.S. we're pricing into

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$9.50 wheat. And in the back half of next year, we could be faced with $10, $11 wheat. We don't know a lot at the moment.

Fernando Ferreira
BofA Merrill Lynch, Research Division

But just a follow-up in the U.S., how do you see the pricing environment given that this is not just a wheat-related issue, right? Do you see room for pricing pass-through into next year?

Gary Prince
Former Deputy President of BBU

We look to cover our cost in pricing. The retail environment is going through major changes and challenges, and we look to cover our cost as it relates to our products and our input costs.

Operator

This concludes the question-and-answer session. At this time, I would like to turn the floor back over to the management for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you very much for your time today. And as always, please do not hesitate to contact us with any further comments or questions you may have, and we look forward to speaking with you soon. Thank you very much.

Operator
Thank you. This does conclude today's presentation. You may disconnect your line at this time, and have a nice day.

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